

An Act

ENROLLED HOUSE
BILL NO. 3704

By: Crosswhite Hader, Caldwell
(Chad), Hill, and Maynard
of the House

and

Daniels and Howard of the
Senate

An Act relating to revenue and taxation; electing the State of Oklahoma to participate in the federal income tax credit for individual contributions to scholarship granting organizations; directing the Governor to execute required certification and agreements as required by the United States Department of the Treasury; requiring the Oklahoma Tax Commission to identify certain scholarship granting organizations and provide list to the Secretary of the Treasury; requiring the Oklahoma Tax Commission to promulgate necessary rules, forms, and procedures; prohibiting the promulgation of rules that exceed certain requirements; providing for election to participate in the federal income tax credit to remain in effect for certain period; providing for codification; and providing an effective date.

SUBJECT: Revenue and taxation

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2357.901 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. The State of Oklahoma hereby elects to participate, to the fullest extent permitted by federal law, in the federal income tax

credit for individual contributions to scholarship granting organizations, as established in Section 25F of the Internal Revenue Code of 1986, as added by Section 70411 of Pub. L. No. 119-21, or any successor provision.

B. The Governor of this state is directed and authorized to:

1. Execute and submit any election, certification, agreement, or other instrument required by the United States Department of the Treasury or the Internal Revenue Service for a state to be treated as a "covered state" for purposes of the federal credit for contributions to scholarship granting organizations;

2. Designate, consistent with federal law, the Oklahoma Tax Commission as the state agency responsible for:

- a. identifying and registering scholarship granting organizations within this state that meet the requirements of Section 25F of the Internal Revenue Code of 1986 and related federal guidance,
- b. maintaining and providing to the Secretary of the Treasury a list of scholarship granting organizations identified in subparagraph a of this paragraph that are located in this state, and
- c. performing any reporting, recordkeeping, or compliance functions specifically required of covered states under Pub. L. No. 119-21 and applicable federal regulations; and

3. Take any other action and execute any other document that is required to implement and maintain the state's election to participate in the federal tax credit for contributions to scholarship granting organizations.

C. The Oklahoma Tax Commission shall:

1. Coordinate, to the extent necessary, the administration of this section with the existing income tax credit provided in Section 2357.206 of Title 68 of the Oklahoma Statutes for contributions to scholarship granting organizations and related entities that also comply with Section 25F of the Internal Revenue Code, as added by Pub. L. No. 119-21;

2. Promulgate such rules, forms, and procedures, subject to subsection D of this section as are necessary to:

- a. register scholarship granting organizations on a list and in a format indicated by the Department of the Treasury for purposes of this section,
- b. collect and transmit information only as required by the Secretary of the Treasury or the Internal Revenue Service concerning qualified contributions, qualified organizations, and scholarship awards, and
- c. inform taxpayers and scholarship granting organizations of the interaction between the federal credit under Section 25F of the Internal Revenue Code of 1986 and any state-level income tax credit allowed under Section 2357.206 of Title 68 of the Oklahoma Statutes, including any reduction in the federal credit on account of a state credit for the same contribution.

D. No state department, division, or any other agency, including the Oklahoma Tax Commission and Governor, shall promulgate any rules or regulations that exceed requirements of the applicable federal law or rules and regulations in implementing this act.

E. The election made pursuant to subsection A of this section shall remain in effect for all tax years for which federal law permits state participation in the credit program, unless repealed by an act of the Legislature or unless federal law is amended to terminate participating-state status.

SECTION 2. This act shall become effective November 1, 2026.

Passed the House of Representatives the 23rd day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 15th day of April, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____